

FinSakhi - Basic Financial Planning Guide for Women Entrepreneurs

Published by Pon Crystal Foundation | Contact: info@poncrystalfoundation.org

1. Core Principles of Business Money Management

- ? Separate Personal and Business Accounts: Never mix shop income with home expenses.
- ? Pay Yourself a Fixed Monthly Salary: Withdraw a fixed amount instead of dipping into cash daily.
- ? Build a 3-Month Emergency Buffer: Keep at least 3 months of shop operational expenses in RD/Savings.

2. The 50-30-20 Micro-Enterprise Budgeting Rule

- ? 50% Raw Material & Inventory: Reinvest half of monthly revenue directly into goods and stock.
- ? 30% Shop Operating Costs: Cover shop rent, electricity, transport, packaging, and assistant wages.
- ? 20% Savings & Enterprise Growth: Reserve 20% for loan repayment, new machinery, and emergency buffer.

3. Debt and Credit Balance Guidelines

- ? Avoid Informal Loan Sharks (Meter Vaddi): Moneylenders charge 36%-120% interest per annum.
- ? Prioritize Bank & Government Credit: MUDRA Shishu loans provide up to Rs 50,000 without collateral.
- ? Review Monthly Profitability: Calculate true Net Profit = Total Revenue - (Materials + Rent + Bills).

4. Grassroots Community Advisory

- ? Tamil Nadu Helpline: Contact Pon Crystal Foundation coordinators for free local workshop counseling.
- ? Verified Official Portals: Visit mudra.org.in and msme.tn.gov.in for verified scheme criteria.